America’s Economy Is Entering a New Era — ft. Noah Smith

Podcast: prof G markets

AI Executive Summary

Core Thesis The episode explores the intersection of rapid technological advancement, geopolitical competition, and shifting demographics, arguing that while the rise of AI and declining US fertility rates present systemic risks to economic stability and social cohesion, these challenges can be mitigated through strategic policy interventions. The conversation posits that by leveraging state-contingent assets—such as sovereign wealth funds focused on broad index funds—and adapting business models to "AI-first" production processes, the United States can harness unprecedented productivity gains and address growing wealth inequality without succumbing to the pitfalls of centralized planning or social instability.

Key Arguments & Data * The AI Arms Race (US vs. China): * While Chinese models like Kimi K3 show high benchmark performance, they often exhibit "brittleness" outside of testing environments and are limited by US export controls on inference compute. * There is a significant risk of "AI dumping," where China could subsidize the cost of AI inference to undercut the profitability of American companies like OpenAI and Antherspic. * **Critical Risk:** AI biosecurity is identified as an overlooked existential threat, specifically the potential for humans to engineer and disseminate highly lethal viruses using accessible technology. * **Economic Demand & The "Token Maxing" Risk:** * There is a potential shift from a supply-side crisis (lack of chips/energy) to a demand-side crisis if companies engage in "token maxing"—using massive amounts of AI tokens without achieving actual Return on Investment (ROI). * Historical analogy: The transition from steam to electricity in factories initially decreased efficiency because manufacturers simply replaced one power source without reorganizing workflows; similarly, AI requires "AI-first" business model redesigns to realize productivity. * **Wealth Inequality & Power Dynamics:** * The top 1% of Americans currently control approximately one-third of all US household wealth. * The debate over inequality is less about raw numbers and more about "inequality of power"—the fear that large corporations are not serving the national interest. * **Policy Proposal:** A sovereign wealth fund that buys broad market index funds could act as a "state-contingent asset," providing a mechanism to redistribute capital gains

to citizens (e.g., through baby bonds) and acting as insurance against AI-driven economic shifts. * **Demographic Decline & Social Security:** * Record-low US fertility rates threaten long-term economic dynamism, potentially leading to "dynamic inefficiency" in the Social Security system due to a shrinking worker-to-retiree ratio. * This decline will likely lead to more contentious immigration debates and increased pressure on the "pay-as-you-go" social safety net. * **Technological Optimism:** * Contrary to fears of mass unemployment, AI has thus far accelerated productivity without causing aggregate job destruction; instead, it is driving a surge in business dynamism and individual entrepreneurship (e.g., the rise of S-corporations).

Actionable Takeaways * For Investors: Monitor the profitability metrics of leading AI firms (specifically Anthropic and OpenAI); if these companies maintain profitability despite potential Chinese "dumping," the US competitive advantage remains intact. Watch for shifts in capital allocation toward "AI-first" industries. * **For Business Leaders:** Avoid the "electricity trap" by not merely layering AI on top of old processes. Focus on restructuring production workflows to leverage the unique capabilities of generative models to ensure actual ROI and avoid the "token maxing" trap. * **For Policy Advocates/Economists:** Evaluate the feasibility of index-based sovereign wealth funds or "baby bonds" as non-socialist tools for redistribution that mitigate the regressive nature of declining labor shares of income. * **For Workforce Planning:** Prepare for a shift toward more "generalist" roles and higher levels of independent entrepreneurship, as AI lowers the barrier to entry for starting and managing small businesses.

Full Transcript

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That's how many cups of coffee per day are safe for most adults and may even have health benefits according to the American Heart Association. Ed, what do you call sad coffee? What's that? Dispresso. A lovely joke to start our Friday episode. How you doing? I'm doing okay. I'm in LA, which I absolutely love. I would turn the camera around, but I'm worried I'll detect him and freak out. but I'm overlooking the Hollywood Hills, and I

absolutely love it here. I love California. I love Los Angeles. It is 80 degrees, but it's dry out, so it just feels... I mean, when you and I were in Miami and it was 89, it felt like we were in an air fryer. Suffocating, yeah. This at 80 feels pleasant. It feels... That's very nice. Yeah, I love it here, so I'm happy I'm a little bit jet lagged, but, and unfortunately, The podcast that's start, you think I'd figure this out, at 2 p.m. in London, start at 6 a.m. in L.A., so I was up at, I was up at ODark 100 hours this morning. How are you at? Enough about me. I have enough about the espresso part of this. What's going on with you? I'm doing very well. I'm very excited because tonight I'm gonna go see the Odyssey. So I've been waiting for...

Over a year. Have you seen it? No, I'm the same thing. I want to see it in iMacs. I want to see it with my boys So like all of these things get in the way of actually going and seeing it exactly I just sort of cut my losses. We're not gonna go see iMacs We're gonna go see it regular, but that's okay. I just want to get out there and see it So I will give you my review, but I mean the the reviews have been spectacular 98% rotten tomatoes critics calling it a flawless masterpiece So I'm I'm very excited about it. Yeah, well, I'm I'm refusing to see it because a black woman is is Helen and a transgender man as a warrior. That's just that's just that's the line. I'm being accurate to how you cast a myth, which to me is an oxymoron. You get to do whatever the fuck you want. It's a myth, folks. Anyways.

I would like to know the percentage of people who are upset about the Odyssey casting and who believe that the Odyssey is a factual historical story. That would be a very interesting statistic that we should get some survey data on. But yeah, that wasn't enough to keep me away. I will be watching it and I'll be very excited to see how it is. Who knows? Maybe I won't even like it. I think you're going to love it. Yeah, I've heard nothing. I go in with such a bias because two of my favorite films are from Christopher Nolan, Oppenheimer, and I think the perfect movie, at least for me, whose favorite star of any movie is Hitler is Dunkirk. I think you're going to say Interstellar. That's my favorite. Really? I think I need to do edibles and watch Interstellar again. I didn't watch it again. I kind of didn't get it. I rewatched it recently and then I rewatched it again because it was so good and I had forgotten how good it is.

That is profound and moving on multiple dimensions. So that's my favorite. Dunkirk's great too. The Dark Knight is up there for me. Great movie, great movie. Yeah, Memento. Yeah, Memento's good. one of his early ones. That guy has a bright future in Hollywood, although I still am very upset. The thing I didn't like about End of Stellar and it stuck in my craw, what about the dude on the spaceship who was up there for 22 years or 12 years just roaming around waiting for Matthew McConaughey and Anne Hathaway to get, I mean, they're on that wherever they were and they come back after 28 minutes and he's been there 12 years and they're like, hey dude, what's going on? What the fuck do you think is up? Nothing. I've been here for 12 years.

I found that very upsetting. Very upsetting. That's kind of the point. But yeah, I agree. Well, we have a very good and exciting interview to get into today. We recorded this conversation live on Substack earlier this week. If you'd like to catch the next live stream, we will be doing plenty more live streams. Then go to profgmedia.com where you can subscribe. We do a lot of these live streams there. A lot of fun. I thought it was fun to do this live with an audience as well. So without further ado, I'm going to transition us into our conversation with Noah Smith. Now that we are past the halfway point of the year, we wanted to take a step back and look at some of the biggest forces shaping the economy. And to do that, we have invited someone we are a big fan of. He is a prolific writer whose work spans everything from AI to inequality and demographics. And he has a way of explaining very complicated economic trends in a way that is both insightful and accessible. And that's why we really like his work. So we wanted to ask him some of the biggest questions that we are wrestling with right now. For example, are we in an AI bubble? And if so, what happens if it bursts is rising inequality becoming a threat to economic growth and also has America officially reshuffled in the global order. So without further ado, here is our conversation with Noah Smith, writer of the No Opinion blog. Noah, thank you so much for joining us on ProfG Markets. And thank you so much for joining us on a live stream. Very exciting stuff. Thanks for having me on. So I want to get started here with some recent AI news, which is the release of the Chinese model Kimi K3, which has caused a lot of concern in the AI world. I mean, what we know about this new model is that it's open source, it's very cheap, and it also outperforms anthropic and

open AI's models on a variety of benchmarks, which has a lot of people worried and thinking about this idea of, is China about to supersede the US when it comes to AI. Are they about to steal America's lunch? Let's start with that question. What do you make of Kimmy K3 and what do you make of the China versus US AI race at this point? So with Chinese models so far, the pattern has been that they test very well on benchmarks and then that their capabilities are very brittle when you go beyond just sort of teaching to the test, if you will. That's one issue.

This has been a very consistent thing. When we've seen more comprehensive tests of Chinese models' abilities, they've been increasing more slowly than the American models. There's also a question of, to what degree this Chinese model is simply an American model that was copied. In terms of whether export controls are working, the overall story has been, again and again, that export controls do work. In addition, China has far less compute available for inference. So, you know, most of what differentiates these models right now is on their performance is how much compute you can use for inference. You know, not how much you use to train the thing. It's how much, you know, you can let them think really. And so China has a lot less compute there and AI and export controls have been very important in limiting China's compute on inference on the capabilities despite, so, you know, even if you Exactly steal the weights for Claude, which maybe they did who knows. I'm not a technical expert, so I can't say whether they how likely that is or maybe you use a distillation thing so it's very similar to Claude. So even if you do that, you can't run at Claude's capability most of the time if you don't have the inference compute. So export controls have been extremely effective in terms of and that's not even counting the export controls on chip making equipment, which have been very effective in keeping.

the Chinese chipmaking industry well behind the Taiwanese, Korean, et cetera, and US industry. And so I think export controls are still quite effective. And this may turn out to be another deep-seek moment where we find out that the reports of extremely advanced world-beating capabilities turn out to be very exaggerated. When you look at the AI landscape today, which are the issues or the topics that you think are not getting enough attention that matter more than perhaps the media or the conversation online

give credit for? Well, I mean, obviously, AI biosecurity, like humans are vulnerable to viruses. And so there are viruses that kill most of humanity or all of humanity don't naturally tend to evolve because those viruses will burn themselves out.

But maybe you could make one if you intentionally design it. And our controls on biolabs are very weak. We need to implement stronger controls on the places where these things could actually be made and disseminated in the physical world. It'll be a while before we get these fully automated robot labs. But humans can make stuff, and humans who insert some genetic mutation into a virus and then email it to you, or not email it to you, just mail it to you through the post office. They don't necessarily know that the mutations they inserted into common COVID-19 are going to turn it into a virus that just kills all humanity. They don't know that because they're not AI. They can't understand. So we need to deploy a defense in depth against doomsday viruses. And that's just not being done yet, although people are starting to talk about it more. But if you're not scared about this, you should be more scared about this than you are. So one of our big themes or predictions is that China is engaging in...

modern-day dumping, but instead of steel, this time it's with AI. And I think there is evidence that token usage from Chinese models has exploded. Any thoughts on the notion of AI dumping? China could absolutely subsidize, subsidize inference so that its models are temporarily cheaper. And then this throws a wrench into the profit loss of anthropic and open AI. And they cause them a crash. open AI and Anthropic go out of business or don't have enough money to like train the next generation of models. And then, you know, then China has eliminated some American AI advantage there. It's absolutely possible that that could happen. But at the same time, we have seen Anthropic profitability is expected to be positive on an operating basis this year. That's amazing for a company with that amount of growth.

Like usually, if you're investing that much, you're not profitable. Like how long did it take for Amazon to be profitable? Many, many, many, many years. Anthropics doing it much more quickly. Usage is exploding. I think OpenAI will probably get there. And then so far, the profitability of these companies doesn't necessarily seem to be under threat. If we see Anthropic

and OpenAI struggling to find the capital to invest in the next generation models, then we should be worried. Until then, there's nothing that AI dumping really does, except for attack, open AI, and anthropic. Now, maybe you can make an argument that it's hurting some of our players further down the line, like Google could be getting hurt, or maybe meta has been driven out of the AI race by the fact that they can't afford to keep up with Chinese inference because of dumping.

So that's something that deserves to be looked into, but so far, if opening an anthropic is still, if their profitability is still improving rapidly, I'm not so worried because that's the mechanism by which dumping would hurt us. I mean, it appears another theme we've seen is that we've gone from worrying about a supply crisis where there's not enough inference, compute, and energy to potentially demand crisis because it feels like a lot of the initial demand creators who are supposed to create demand, whether it's Lama or XAI, they have not created the demand they'd initially anticipated on the front end. So they've taken all of their infrastructure build out and now are renting it to what appears to be a narrowing group of the demand side, specifically open AI and Anthropic. Do you think there's any fear that we're moving or do you see any evidence that we're moving from a supply side crisis to a demand side crisis? I haven't seen evidence of that yet, but it could happen.

Have not seen evidence of a demand-side crisis yet demand for all these things continues to explode that demand is you know going to American companies a Lot of that you know you we've seen we've seen demand for for you know sort of cheap substitute from China also rise That's inevitable. You know like I said you might say that like Oh, Gemini isn't as good. Google's falling behind because there's not enough demand for their products because they're being, you know, as a slightly lower down the hierarchy, slightly behind the frontier model, they're being outcompeted by Chinese models with subsidized inference. So you can see that. I think the bigger danger on demand is, you know, sort of basically a collapse due to temporary overuse. So if you have every company It says, we need to token max guys. We need to just use AI as much as possible to figure out what we can use this for. And then they just token max, token max, token max. And then this drives demand up. And then, you know, open AI and anthropic

and Google and whoever make reckless capital budgeting decisions based on the idea that that growth curve will continue. And then it doesn't continue and it collapses because people are like, wait a second, we're not actually building shipable software. We're not shipping profitable software with this, with all these tokens.

with all these tokens. What are these tokens going to produce? Then we can see a crash, right? And China's companies might be better able to weather that crash than us because of state subsidies, you know, keeping them alive. And keep in mind, by the way, that most of these state subsidies are delivered through below market rate bank loans, not through the government mails you a check. So that's how most of these subsidies are actually getting done. The United States has the capability to match that if we were to use Modify the Dodd-Frank legislation to get our big banks Lending to AI and also the manufacturers by the way if we want to do industrial policy if we want to fund it if we want to subsidize It's not by mailing I mean mailing government checks like we did with the Chips Act can be effective But I think the most effective and durable way of subsidizing things is actually through bank loans and we already have the legislation in place. That's Dodd-Frank to be able to do that all we have to do is say hey guys uh hey jp morgan chase if you lend to this these strategic industries whatever you can get uh you can loosen your tier one capital requirements and then they do the loans start to flow uh and then so we can do that we've already done the repression part of financial repression we just have to do the lending channeling part if we want to do the kind of subsidies china does we can actually match that pretty easily There is an evidence that there is no demand. We've seen the demand, we've seen how much money is flowing into the ecosystem. If I could kind of tweak it, it would be there as a concern that the demand that we are seeing, or at least the majority of the demand that we are seeing is artificial.

And you hinted at it with the token maxing, where these companies are telling their employees, it doesn't matter about the ROI, it doesn't matter how you do things. You need to use as many tokens as possible. We had the issues with the circular financing stuff, where you had these circular deals where investors turned out to be various AI companies, customers at the same time. You have the fact that a lot of the revenue that's being plowed, a

lot of the business model is predicated on the spending of open AI and Anthropoc, who are currently money losing businesses. And so the money that they're spending, it's not the cash flows that they're spending, they're spending their investors' money. And then to your point, there's also the subsidies side of it. If you have companies in China who are receiving subsidies, through whatever mechanism and if we're going to start thinking about doing the same thing over here in America, that translates to me as, yes, tens, hundreds of billions of dollars in demand, but demand that doesn't feel quite organic and that feels in a lot of ways forced or artificial, which makes me think, well, if we were to take our foot off the pedal here, then something might collapse, something might break in a big way. What do you make of that?

Argument and that view do you think there's merit to that explain me artificial demand circular deals where you have. Nvidia and open a i investing in each other and then being each other's customer how does that create demand for for the end product understand what creates demand for invidious chips that's investment that you know so so that's like. Yes, it's demand for the upstream stuff. So right now it appears like a lot of the usage companies are because of these metrics around such as we're tracking how many tokens you're using as opposed to tracking or putting in place real ROI. And the thought is some of that demand might fall off. I think the more puncturing issue is can they maintain this level of demand once they move to...

a pricing system that sustains, I mean, I use Claude, I think it's called Claude Pro or the one that's 200 bucks a month. Supposedly it's costing them a thousand to 2,000 to service me. And the question is, at what point does this demand, can it sustain at anything resembling the growth that the street wants to see to support these private valuations once it's priced to its actual cost? In other words, does this business model work? Do you think this business model works? I don't know. Fair enough. I don't have a way of tracking that. I don't know that other people do either. I think, you know, I wrote about that. I wrote a post about that, like how much software do we really need? Like you, I hear anecdotes about token maxing. Token maxing being the term for the benchmarks, you know, the usage-based benchmarks

that you're talking about instead of like profit or, you know, based benchmarks. Just how much?

input can we use like That doesn't sound like a great benchmark for profitability. I hear anecdotes I don't you know, I have I don't have hard statistics on how much this is being done. Who's doing it? This is all internal none of this data is public and anecdotes don't equal data and we I think we should resist drawing excessive generalizations from anecdotes I don't know how much value is being produced because Value first of all it could be that lots of values being produced, but it won't be realized for a while So if a lot of this is learning if a lot if the value of using this stuff is learning how to use it We won't see that for a while. It's not going to show up like I use this many tokens and I ship this Much profit worth of software this I get this much profit from the software I ship with the tokens that I used and that won't necessarily be that clean You know if you if you look at how productive he's measured like Chad Cyverson does a good job of measuring this productivity, but it's really hard. You can look at various established industries like ready mix concrete or something, and you can look at how you can really, you know the production process, you know the use cases, you know exactly how this stuff is turned into value. Inputs are turned into value, but for AI you don't, and so there's a lot of learning here.

The classic example here that everyone sides is electricity. When electricity was first introduced to manufacturing, by this time, everyone was using it to light their homes or whatever. But when electricity was first introduced to manufacturing in the 1900s, early 1900s, they had these vertical factories that were turned with these big crankshafts where the entire conveyor belt moved at the same speed. because it was driven by a steam boiler. They ripped up the steam boiler, put an electric dynamo, and drove the same thing, found out, wait, it's less energy efficient. Electricity sucks. They, electricity maxed, right? They used an improper benchmark as their, you know, and then they tore out the dynamos, put back in the boilers and ignored it. And then about 20 years later, people figured out, oh, if we completely reorganized how the factory worked and ran workstations in parallel instead of in series, we could increase productivity a lot. And then you got a very rapid increase in productivity by a factor of like, three to five or something like that just this massive massive burst of productivity

growth with the reorganization of the factory So we got modern-looking factories not these like ancient-looking, you know multi-floor factories that now are part of like old Mickey Mouse cartoons and so Was the initial use of the Of the you know electricity to try to replace steam directly was that wasted money. I don't know I can't tell you that that was wasted money because there was learning here. You learned what didn't work. And that was probably an important input into the people who redesigned the factory later on and got this huge increase in productivity. They had to see what didn't work and think about what you could and couldn't use electricity for. And so I'm not sure that token maxing is wasted because all these people are learning what you can and can't use AI for, what it does, what it doesn't do.

It's forcing a lot of people to think about AI first production processes. So now we're, everyone's already talking about building AI first businesses and AI first business models. Maybe a couple people have, you know, my friend Edmund Zagran has this company was trying to do this. Pete, we're getting on this much faster than the people did with electricity because information travel, you know, travels much faster, right? So we know we need to do this faster than they knew that with electricity. OK, we're already on this. And so whether or not it's going to take us 20 years this time or maybe only five. or something to build AI first business models that realize enormous productivity gains, I can't say. And whether that's even possible, I can't say. There may be inherent limitations to AI technology once you scale things up from ask one AI some questions to have all these AI agents interact and do business together. That may not scale up as well as I think it does, as people think it does. I would guess it does scale up, but maybe it doesn't. We don't really know yet.

If and when, suppose we do end up finding massive ways to massively increase productivity with AI, the blind alleys and dead ends that we spent all those tokens on before may have been an integral and important part of that. And so that productivity may be realized in a bit. Now, whether in the interim there's a big crash and what that implications are for producers like OpenAI and Anthropic, like upstream producers like NVIDIA, I can't say. That's beyond my ability to predict, I think, but it could happen. We'll be right back after the break, and if you're enjoying the show so far, send it to a

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related to this is just the public perception of AI. As the more dollars we plow into this technology, the more we roll ahead, it seems the more pushback we're starting to see in the general public and in the political level. We have obviously seen Kathy Hoekle, the governor of New York, who has issued a pause on data center production. And it seems like that is growing as a form of AI regulation, is like just hit the pause button on data centers. But it also seems to be related to some of the wealth inequality issues that we keep on seeing kind of getting worse every passing year in America. The top 1% of Americans control roughly a third of all US household wealth, which is an all-time high today.

To what extent do you think that these two issues are linked? And how much of a problem do you think wealth inequality really is in America? What does it mean for the US economy? When wealth inequality goes from, you know, when the top 1% has like this many trillions of dollars versus that many trillions of dollars, it's not a number humans understand. You know, regular people who are just trying to make their credit card payments, don't understand that. You need data, and then you can have economists who gather data on this and then argue about how much is really happening because it's hard to measure this top wealth. And then you have people arguing, but I don't think the sheer number is like, oh my God, look at how much these people have. I don't think that's the way that wealth

inequality becomes a problem in normal people's minds. I think instead, people think about inequality of power.

And people think about the companies that these people control, and are these companies being run in our best interest? Everyone knows these people are getting rich. Small changes in exactly how much they're getting rich, or even large changes in how much they're getting rich, don't affect the basic idea that people are being squeezed at their jobs, and they're being squeezed on their finances, and they're being squeezed in their consumption. And they don't necessarily see, like, and then they hear, oh, all these stories about how fabulously rich the people who own these companies are getting. That's the way in which I believe wealth and equality comes home to real people. That's what we need to address. The idea of can the rich guys continue to do things that make them get richer while other people struggle. And I think we need to attack that from two sides. Number one, we need to make sure that normal people don't struggle.

Okay, if people can make their like if people have less credit card debt and if people have you know more wealth in their houses And you know, which is where normal people have their wealth by the way normal people have their wealth in the real estate market not in stocks, but if people you know, but also we can give people like you know wealth in terms of like a sovereign wealth fund what Alaska does with the permanent fund But but the other thing we need to do is to make sure people know that these rich guys are ultimately under the control of the people through the government that the government, although the government doesn't necessarily tell you what to do with all your businesses, central planning, at some sense these big corporations are serving the interests of the nation. And I think that during World War II and the early Cold War, people had a very strong sense that big companies like Ford, US Steel, Alcoa, GM, and all these Boeing and all these companies were serving America. These were American companies working for America and working for the people of America through the nation state.

We need to reestablish that. So so Sam Altman floated the idea of a government stake in open AI He's right and that's how this that's how this has to happen And so sovereign wealth fund is really the best policy we can

do to do all of this. So sovereign wealth fund says So Alaska has the Alaska permanent fund, you know, that is right the oil right so it takes Alaska and oil revenues and natural resource revenues and redistributes the money the people of Alaska We need to do that with with you know, tech and ai and these these strategically important industries where we don't. You know, have might have the government micromanage and central plan and control business decisions, but we redistribute some of the capital income. And if necessary, we could if our companies were going rogue and doing stuff that was against the interests of the nation. We could have, you know, the government as a shareholder can send someone to the shareholders meetings instead of just regulation and law. In addition to that, in addition, we can have someone go to the shareholders meetings say hey guys.

You need to act in the interests of America and the people of America. And that's what we need. That we need people being reassured that they have some sort of stake in this, not just financially, but also in terms of power. I think that solves the problem. I would push back on a note. I think sovereign wealth funds are used when a nation that's blessed with an inordinate amount of natural resources has excess capital beyond their spending commitments. A sovereign wealth fund in the U.S. would be nothing more than issuing debt that Ed's going to have to pay back to fund the sovereign wealth fund such that a current administration could pick winners and losers, which governments usually aren't very good at. I understand the need to invest structurally in certain industries that have defense implications. But generally speaking, when the administration decides we should buy 5% of open AI with debt fueled capital that will create regulatory capture and disparage or diminish the other competitors. I just can't find evidence of where that makes any sense, and ultimately doesn't just end up with a warehouse full of unsold DeLorean's or Air France. A sovereign wealth fund, I just think is indefensible at this point in picking winners and losers by an administration, many of whom have no experience in business or their experience in business is bankruptcies and failed subcontractors.

Again, sovereign wealth fund. I think it's a terrible idea. Where am I wrong? If you don't want a sovereign wealth fund to pick winners and losers, you can just have it by index funds. I invest in stocks, but other than,

you know, I invest in friend startups, but I don't, I don't really sit there thinking, I think Ford's going to do well this week. You know, I don't, I don't do that. I don't pick, I don't pick winners and losers. I buy the index, you know, and then I, I'd buy the, you know, Vanguard, Vanguard index fund. And you can have the government do that too. The only winner you're picking then is america itself you're making a bet on america you're not betting on four you're betting on american stocks over foreign stocks that's fine. But then you're not picking winners in terms of industries or companies or things like that so if you don't want your sovereign wealth fund to do that. Then you don't have to have it do that it's really easy to not have it do that in fact the sovereign wealth fund proposals that i've heard. Involve explicitly buying the index don't you know so i think that.

ad hoc stakes in companies like OpenAI are dangerous for this reason. But then you can easily solve that just by buying the index. So if you look at the labor share of income, it's going down. It's going down by any reasonable measure. And so if you buy a very broad index of stocks, all you're doing is buying the capital, some of the capital share of income and redistributing it. So you're doing that. So that fear, I think, of picking winners and losers. I also think that picking winners actually has a much better track record than people think. I think that the idea that this always, picking winners always fails. It doesn't. It has some pretty predictable failure modes that we see a lot. Sure.

But it's not like the the the simple easy nostrum of oh picking winners always fails guys if if if I can label something picking winners Then it's something we shouldn't do that's been proven wrong again and again, but That said we don't have to pick winners with a sovereign wealth fund. We can just buy the index So that's not a that's not a worry. I think you should worry about or or it should be a reason to encourage a broad sovereign wealth fund that buys index funds rather than the kind of policy Donald Trump is doing with ad hoc stakes individual companies, which I do have very strong misgivings about. I think that makes sense. You're saying as opposed to picking winners and losers, support the U.S. economy and also give American citizens similar to that. I think it's the super return fund or whatever it is in Australia, a chance to participate in what has been largely compounding. I guess the issue is or the the caution I would throw out

there, I don't want to get your responses that we don't have surplus. So any investment, any incremental investment in an index fund or a company is going to come from debt, which will ultimately be taxes on either current or future generations. Why not just try and maintain lower deficits and let individuals decide what companies In other words, ultimately that's saying that the government is a better stock picker, and indexes have effectively become stock picking. When you buy the S&P index, you're buying 40% of it's going to seven or 10 companies. Isn't this me saying and fantasizing the public saying, I'm going to run up your kid's credit card and then I'm going to invest in index funds rather than just getting government out of the way and letting you buy your own index funds?

Difference there being that most people don't have the money to buy index funds that don't have the liquidity to borrow money to buy index funds And so if the government does it how does the person who doesn't have money redistribution? Okay, so it's a redistribution because then you would have some sort of mechanism for returning the gains to citizens Yes, that's the yes That's the point redistribute capital income to regular people. So you got some person who works at a gas station That person could theoretically, you know, like scrimp and save and buy a tiny bit of index fund, but the transaction costs are high. Information costs are high. They don't understand how to do it. And practically, they can't borrow. Like, what does the government borrow at? A couple percent? Like, even in, now that interest rates have risen a ton, what's the 20-year...

Treasury rate. I don't even know. It's like it's like a few percent. Do you think the gas station worker can borrow it a few percent to buy an index fund? You're crazy. That's absolutely not. There's two pieces here. Number one is it's redistributionary because if you if you have the government by services, you know, like pay for old people's health care or something or maybe build highways or whatever or provide for the national defense, if you have the government do those things that benefit the gas station worker just as much as they benefit a rich guy. Okay, that's redistributionary. And so that's the first benefit. The second benefit is insurance. So if you debt is unconditional, it's like you pay the same interest rate back whether or not AI takes over our economy. But if you buy the AI company, part of the AI company, and then you're able to redistribute that income in the future, it

functions as insurance. Because in the state of the world, it's a state contingent asset. Because in the state of the world where AI takes over the whole economy, normal people get a piece of that. But the amount of debt that taxpayers have to pay back doesn't change its state incongent. It doesn't change based on whether or not AI takes over the economy. Sounds like you'd be a fan of Trump bonds or baby bonds. Yeah, baby bonds. I mean, that's been done in other countries and it's been successful, yeah.

Absolutely hundred percent and that's exactly what you do that's that's a thing you can do so so you can choose to pay down america's debt if you think inflation is a problem and you need to you know pay down some of the debt to reduce inflation you can use it you can do baby bonds if you think it's better just give people cash to you know ubi fund ubi you can also just do public goods you can use this for research and development spending. you know to improve productivity in a paul romer sense you can use this to do national defense if we need to build up for big war you can use this for building highways if we need better infrastructure uses to build trains you can use this to build you know it critical infrastructure. And you can use this for in kind redistribution like buying old people health care which is you know not as broad based as baby bonds but it's pretty broad based because everyone gets old and everyone gets sick and so you know you can do a lot of these these redistributionary things.

Um, so, so there's the insurance benefit, there's the redistribution benefit, and then there's the fact that the government's borrowing costs, you're talking about running up these kids credit card, but you're not talking about their credit card because a credit card interest rate, credit card interest rates are through the roof where the government interest rates are a few percent. Even after we raised interest rates to fight inflation, the government is the cheapest borrower, right? And unless you, unless you believe that there's a good chance that the government is going to get below treasury returns on its stocks over the maturity of government debt that it takes out to buy these things, which is a possibility. I mean, that's, we haven't seen negative returns, or we haven't seen below treasury returns, I think on 20 year, you know, S&P, whatever, ever.

Before but we could see it for the first time. It's not out of the realm of possibility. We could take a bath We could actually lose this right if you use state Uncontingent debt to buy state contingent assets there are states of the world in which you take a bath you you lose money Okay, the government can lose money and this is the argument that people used to stop Bush from Investing social security funds in the stock market back in the day, but had he done that we would have let either less federal debt or much larger social security benefits, a much more robust social security trust fund today than we do. It was actually the right idea. And people use sort of the specter of risk to dunk on it, to stop it back in 2005. And yes, there is risk, but it's aggregate risk. Because if corporate America is doing so bad that the stock market does really bad over a 20-year period or whatever, even a 10-year period, but especially a 20-year period, then America as a whole has done badly. It's hard to see a case in which the stock market does crap, underperforms treasuries for 20 years in which the regular Americans are thriving. That's a weird state of the world I'm willing to bet a lot against. It seems like you and I, I mean, you would agree that the Trump accounts have been a good idea. I personally talked about this on our show. It's one of the only policies that I've seen out of this administration that I really support and that I think is moving in the right direction for a lot of the reasons that you're describing. One, I just want to confirm that you think that Trump accounts are kind of the right idea. I wish we could just change the name because I don't see why we need to politicize this thing. But the idea of gifting a child at birth an investment account automatically buys them into the S&P into the aggregate capital markets of America. That to me seems like a very good thing and a step in the right direction. So one, I'd like to just get a reaction to that. And then two, we're tackling like the biggest, most difficult, most unanswered question in economics, which is like, at what point is US debt unsustainable?

How bad is it really? I'll pose that question to you. I know it's kind of unanswerable, but I'd like to get your take. U.S. debt is on a very bad trajectory right now. That said, if you take out debt to buy U.S. stocks and to have the government buy U.S. stocks, and you have the option to use the proceeds from the stocks to repaid the debt, if you structure the sovereign wealth fund that way, then it would be more sustainable than it is. And in fact, this is what Japan has done. So Japan on paper has a higher debt to

GDP ratio than we do. But they've had the government invest like a hedge fund and made very good returns. And because of that, their debt is less of a burden than ours is now, even though it's higher as a headline share of GDP. We would be the same. We'd be betting on us. I mean, Japan often invests in foreign assets.

But sometimes in the Japanese market too so that you know the b.o.j. by stocks and Japanese companies and things like that and the you know the topics is done well so. Even if we took out more debt than we have in order to buy shares in corporate America that would. In every state of the world except the long decline stagnation of America state in every state of the world except that it would make our debt. burden less of a problem, right? Just like if you have a bunch of debt, okay, and then you take out some more debt to buy stocks and you're able to hold that for 20 years, right? Then your personal financial position actually just improved. You can't do this because of liquidity constraints. The government doesn't have those liquidity constraints. I'm curious to get your take on the controversy around data centers.

Some of the local harms of data centers that people tout are real. For example, if you're very close to it, it's noisy. It does draw power from the grid and that can compete for power with with local communities. Some of the things people worry about are not real, like water, water usage. That's not a real thing. Data centers have some a reservoir of water that they run to cool stuff and they lose extremely little water and they don't pollute any water. So the water thing is made up. The other harms that people tend to emphasize a little bit less are actually real. If you don't want data center near your house, that's your right. Because I think data centers can go elsewhere. If New York won't build the data centers, Texas will. Alabama will. Places will. They bring benefits to the local economy that can then be seen in tax revenue. Local tax revenue can tax them.

So I'm not so worried about this data center nimbyism, first of all. That's my first take. My second take is that I believe without solid evidence, so I don't have solid evidence for this one, but I believe that the local nimbyism over data centers is to some degree, to some substantial degree, not all, but to some substantial degree, an expression of broader fears over AI itself. that

people don't like the idea that AI will take their jobs, you know, basically take their jobs. I don't think most people think that AI will kill them yet. I think people are mostly scared of jobs. And that fear manifests as an instinctive opposition to AI that filters through to opposition to local data centers. I think it's ineffectual opposition because banning local data centers in New York or whatever community won't actually reduce the amount of compute available to the AI industry.

But I think that that's what's motivating it to some degree. We'll be right back. And for even more markets content, sign up for our newsletter at ProfGMarkets.com. Wow, I'm so glad I took calculus in high school and not personal finance. Said nobody ever. Figuring it all out for yourself when you're fresh out of school can not only be daunting, it can literally cost you. I'm Vivian Tu, your Rich BFF, and on this episode of Net Worth and Chill, we're rewinding a decade to when I was first out of college and learning to care for my own finances the hard way, with plenty of slip-ups and face plants. But since I already made those mistakes, I get to share them with you so you don't have to. If you want to swerve all of the potholes I fell into, give the episode a listen wherever you get your podcasts or watch on YouTube.com slash your Rich BFF.

A trend that we have been watching and kind of following your coverage of is the fertility crisis in America, the fact that the US fertility rate fell to another record low in 2025. How big of a problem do you see this, this fertility crisis, and what kind of impacts do you think this will have on the US economy, perhaps some impacts that maybe people aren't seeing or recognizing right now? It's going to be bad, but the bad is going to slowly trickle into our economy in ways that it's hard to notice. It's not like there's some cliff we fall off and like, ah, you know, fertility is low. Old people will clog the top ranks of companies and will be more, less nimble, less able to invest in the future. Our companies will get just less creative and dynamic.

Slowly you know the debt burdens and tax burdens will go up and social security benefits will be cut and you know they'll be the slow trickle of making it harder for. You know just naturally harder for people to live because you have fewer workers supporting greater number of tirees people have to do more uncompensated elder care people have to pay more taxes

support elder care. You'll see immigration become actually more contentious because on one side you'll see people say we need to bring in more immigrants for labor shortages. On the other side, you're going to see immigrants will go up faster as a percent of population because we're not reproducing local people as fast. And so that's going to freak people out more. So you're going to see immigration become more contentious, even than it already is. So that's going to be difficult. There's just all these problems you get from a low TFR that trickle in slowly and subtly. And you don't see them like, oh my god, disaster. It's corrosive.

Do you think that this is the kind of thing that will force us to sort of rewrite how we think about social security, how we think about taxation? Like is this one of those era defining events that may change the way we organize our entire economy? Yes, but I think it's less of an event than a trend. It's going to happen slowly. We already should have realized there's something very wrong with the pay-as-you-go method of social security. because as Paul Samuelson famously proved in his paper about dynamic inefficiency back in, I think, the 50s or early 60s, social security, a pay-as-you-go system like social security is efficient if and when you have a growing population. When you have a very slowly growing population or shrinking population, in the long term, social security is dynamically inefficient.

You just it has big economic problems and so that's that's hitting already That's hitting already and so so pay we we needed to shift to a fully funded system We can't now because expensive one-time shift And instead we're gonna have to have constant bruising political battles over benefit cuts and retirement age raises and you know lifting the cap on on The tax on taxes and making the system more redistributionary and all these things we're gonna have all these fights over. There's no way to avoid these fights And it's baked into our system. And so yes, it's happening, but it won't be a thunderbolt that happens all at once. Is the best solution in your view some form of redistribution? Is that what we need to all get on the same side on when you describe these kind of political debates that are inevitable? Is that the main thing? It's absolutely part of what we need, because when you have benefit cuts, that hurts. I mean, if you're rich and you get your social security benefit cut, benefits cut, do you care? No. But if you're poor and your social security benefits cut, you starve. That's all you had. And so

obviously, the more we cut benefits, which we'll need to do to maintain the solvency of the system, the more redistribution we'll need to do to prevent human suffering. So the insolvency of social security creates a greater need for redistribution across income gaps. And so I think that's absolutely one thing we need to do.

We obviously need to be looking for ways to boost the fertility rate and to continue bringing immigrants without you know freaking out freaking people out We need to do both those things especially high skilled immigrants, you know add lots and lots and lots to our Revenue to our coffers are a huge fiscal plus so we need to look at how to do more of that Which we're really not doing right now. It's the opposite of what we're doing right now And we need so we're gonna need more redistribution. We're gonna need to to tighten our belts and do more redistribution at the same time in order to keep the system solvent and keep it supporting old people and have old people not be synonymous with poor people as they used to be. And so, and at the same time, we need to be looking to address the root causes of the problem here for the long term. What would you say to someone who believes that redistribution is veering on socialism? People who say, I mean, obviously we've seen the wealth tax proposals, we've seen the billionaire tax proposals, which are kind of way over here on the extreme end.

of things. And a lot of people say that's not the right direction. And I think those arguments might have some merit. But there are also arguments that increasing taxes, redistributing in and of itself is not the right path. It's not the right solution. We're kind of waiting on government, waiting on some centralized system to solve all of our problems to the people who take that view. What is your response to them? My response is, what's your alternative? What's your better idea? They have nothing. Nobody who just like, well, that would be socialism has any alternative other than just like, you know, more money from my bank account. I think we're using the words incorrectly though. Socialism is supposed to mean at least government controls the means of production, which just doesn't have a good track record.

And then when you ask where does it work, they'll point to Northern Europe. I would argue Northern Europe in many instances is more capitalist than we are. I think what most socialists today really mean is a capitalist economy that has a stronger social safety net, more progressive taxation and more investment in social services. It feels as if a lot of this argument is a inefficient argument around semantics that those of us who think of socialism as East versus West Germany, North Korea versus South Korea, Soviet Union versus, you know, or USSR. I mean, the 50s and 60s here had much higher tax rates, much more public infrastructure investment, great society. But we didn't call it socialism back then, we just called it healthy capitalism. Isn't a lot of this words? It's all words. Yeah, you're exactly right. Like the word socialism isn't magic fairy dust that you can sprinkle on something to like make it go away. Like that might have worked for like a few years in the 1980s, but that dog will not hunt now.

And so you're right. It is it is totally semantic and that's isn't that just socialism is you know Like there's a shrinking and a rapidly aging cohort of people for whom that sort of argument Yeah, you're talking to one of them But I'm glad that you you you and I are on the exact same page about you know the idea that ownership and control means of production and Is a very different thing from you know redistribution like social democracy, kind of the stuff like Sweden does. Like if you look at the Scandinavian countries, those countries are less regulated than we are. That's exactly right. They're more capitalistic than we are on the production side. And then on the redistribution side, they do a lot more. And so is that more or less socialist than us? Like it is a totally semantic argument. And I wish people would just stop like saying, well, isn't that socialism? And they soon will because that's going away.

We need to come up with a new term. I thought what George Bush did was pretty, or W, compassionate conservatism. Is there a room for compassionate capitalism? Woke. You're talking about sloganeering, and I'm not necessarily a good sloganeer. I want a bumper sticker, Noah. I'm not good at bumper stickers, except for maybe silly ones. But I think that I would just use the word redistribution. to use a word to mean what it means. Instead of tying it to a whole package of ideologies and stuff by calling it socialism, just call it redistribution, which is what it is. Call things

what they are. Use terminology to mean specific, useful things. My final question, if you know it, is there any economic trend that you're seeing today that makes you optimistic about America, that makes you bullish on America or the world or humanity at large. I mean, obviously, AI is the big reason for optimism. Productivity growth, we're already starting to see some productivity growth that's probably from AI, we're not sure. Without apparent job loss, all these people thought AI was a job destroyer and a human remover. And so far, it's turning out not to be that. There's a few...

Occupations that are under stress and under pressure from from a i but that's true of any technology that was true of machine tools that was true of anything that improved our prosperity in the past that now we're not worried about is true of. Databases and computers is true of the internet is true of everything and i so far like our job markets. You know, there's less hiring and less firing what how corporations hire and fire people is going to change I think we'll go more toward a Japanese system where we have like Salomon doing generalist jobs for companies and like, you know instead of highly specialized things And a whole lot more independent entrepreneurs. We're seeing a lot more independent people start small businesses. There's a positive trend We're just seeing a massive surge in dynamism a surge in business formation individuals can start businesses more easily than ever before I have my My sub-stack is a tiny business. It is an S corporation. And so we're seeing a ton of that, and we're seeing no big negative effects so far of AI on aggregate employment outcomes. And yet we're seeing apparent productivity acceleration. And that is great. That's a much better outcome than people would have hoped for even two years ago, even one year ago. Even now, it's better than what people think is happening. You know, people think AI is out there destroying jobs and so far it's not. And so that's something we need to be more vocally acknowledging of. We need to say like, look guys, AI is not destroying jobs and yet productivity has accelerated and there's all this dynamism, all these people are starting these small businesses. That's a big reason for optimism.

They'd have plenty more conversations in the future, but for now I will have to wrap us up. Noah Smith writes the No Opinion blog covering economics, technology, geopolitics and culture. Previously, Noah was an economics PhD student at the University of Michigan, an assistant finance professor at

Stony Brook University, and an economics columnist for Bloomberg Opinion. He left Bloomberg in late 2021 to blog full time. For more of his work, head to No Opinion. That's Noah, his name, pinion.blog, to subscribe to his newsletter. Noah, thank you so much for joining us today. And thank you to our live audience for tuning in. We will see you all next time. Yeah, it was great to come on and please have me back any time. Congratulations on your success, Noah. This episode was produced by Clare Miller and Alson Weiss and engineered by Benjamin Spencer. Our video editor is Jorge Carti. Our research team is Dan Shalon, Chris Nodonehu and Mia Silverio.

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